Daiwa Capital Markets Hong Kong Limited

MPI Corp (6223 TT)

Target price: **TWD8,415.00**

Share price (20 Aug): **TWD5,650.00** | Up/downside: **+48.9%**

5 4 3 2 **1**

Buy
(initiation)

Initiation: mining the AI ASIC & CPO build-out

- Dominating customer ASICs and capturing spillover orders from CPUs
- Price hikes of MEMS probe cards and early-mover advantage in CPO
- Initiating our coverage with a Buy (1) call and 12M TP of TWD8,415

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Investment case: We initiate coverage of MPI, a global leader in semiconductor testing interfaces and automated test equipment (ATE), with a Buy (1) rating. We view MPI as a key beneficiary of the AI ASIC trend, given its near-exclusive relationships with major US cloud service providers (CSPs) for custom AI ASICs. It is also capturing orders for server CPUs, as overseas competitors face capacity bottlenecks.

Technology transition to high-ASP MEMS. Advanced nodes (3nm/2nm) and larger package sizes are driving pin counts above 40k+ per assembly. Micro-electro-mechanical system (MEMS) probe cards are priced 20-30% higher vs. vertical probe cards (VPC) and are fast becoming the preferred technology and is substantially expanding revenue per wafer test. We believe MEMS probe cards will become the standard testing interface across almost all ASIC platforms from 2027E, driving MPI's gross margin expansion from 59.7% to 63% over 2026-28E.

Early mover in co-packaged optics (CPO) testing. Leveraging its photonics automation (PA) and advanced semiconductor test (AST) divisions, MPI provides turnkey electro-optical wafer-level testing and automated systems across critical CPO nodes (Insertion 2 and 3). We expect CPO testing equipment shipments and revenue recognition for MPI to commence in 4Q26, contributing 4.8-9.2% of revenue in 2027-28E.

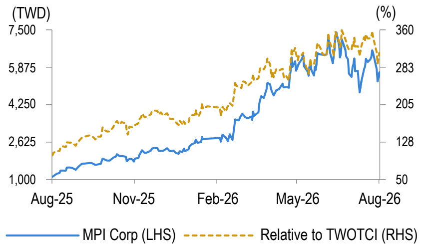
Aggressive capacity expansion and vertical integration. MPI plans to double its monthly VPC/MEMS pin capacity from 5.5m pins (end-2026) to 9.0m pins (end-2027). We believe execution of capacity expansion could outpace management guidance, driven by robust ASIC demand. Besides, the commissioning of its dedicated Hsinchu PCB facility (>50% internal self-sufficiency rate) compresses new product introduction (NPI) lead times and eliminates third-party mark-ups, insulating operating leverage.

Catalysts: 1) Price hikes driven by supply tightness and structurally increased ASPs; 2) better-than-expected capacity expansion; and 3) revenue recognition from CPO testing equipment.

Valuation: Given the structural shift to MEMS probe cards and the potential for CPO testing equipment, we initiate coverage of MPI with a Buy (1) rating and 12-month TP of TWD8,415, based on a target PER of 65x applied to our 4-quarter-forward EPS. Our valuation is supported by our EPS CAGR of 78% over 2026-28E.

Risks: 1) Competitive and pricing pressure; 2) AI/HPC slowdown could delay ramp-up; 3) slower-than-expected CPO commercialisation.

Share price performance



12-month range	1,180.00-7,380.00
Market cap (USDbn)	17.31
3m avg daily turnover (USDm)	201.46
Shares outstanding (m)	98
Major shareholder	WANG HSI INVESTMENT (8.5%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	23,299	41,448	61,445
Operating profit (m)	8,583	17,274	28,350
Net profit (m)	7,217	14,053	22,905
Core EPS (fully-diluted)	73.642	143.403	233.734
EPS change (%)	119.9	94.7	63.0
Daiwa vs Cons. EPS (%)	12.8	9.8	1.6
PER (x)	76.7	39.4	24.2
Dividend yield (%)	0.9	1.7	2.8
DPS	48.6	96.1	158.9
PBR (x)	n.a.	20.1	13.5
EV/EBITDA (x)	57.6	29.8	18.2
ROE (%)	44.0	61.4	66.8

Source: FactSet, Daiwa forecasts

Daiwa Capital Markets Hong Kong Limited

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How do we justify our view?

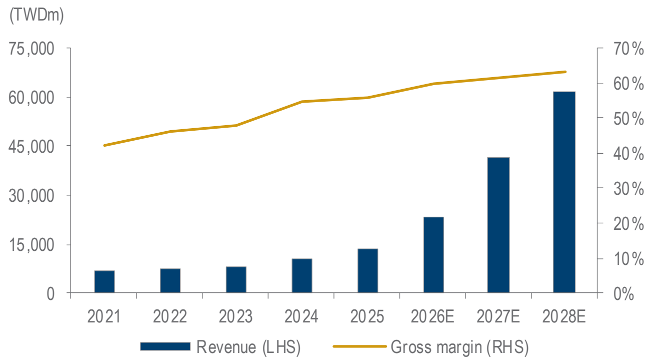
Buy (initiation)

Growth outlook	Valuation	Earnings revisions
✔✔✔✔	✔✔✔	✔✔✔✔

Growth outlook

We forecast MPI's revenue to deliver a 62% CAGR over 2026-28E, driven by strong AI ASIC demand, accelerating adoption of high-pin-count MEMS probe cards, capacity expansion and the commercial ramp-up of CPO testing equipment. We forecast gross margin to expand from 59.7% in 2026E to 63% in 2028E, on structural product mix upgrades, the ramp up in shipments of CPO test systems, and greater vertical integration following in-house PCB capacity expansion.

MPI: revenue and gross margin outlook

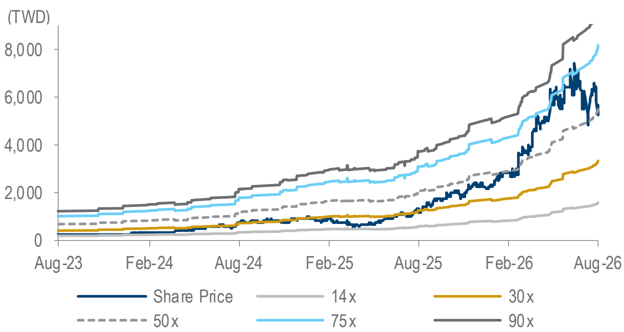


Source: Company, Daiwa forecasts

Valuation

Our 12-month TP of TWD8,415 is based on a target PER of 65x, applied to our 4-quarter-forward EPS. Our valuation is supported by our 78% EPS CAGR over 2026-28E. Although the recent share-price pullback was triggered by management's relatively conservative 2H26 guidance, we view this as an attractive entry window for long-term investors. With more AI/HPC probe card pull-ins and capacity coming online, we see upside to management's guidance by year-end.

MPI: 1-year-forward PER bands

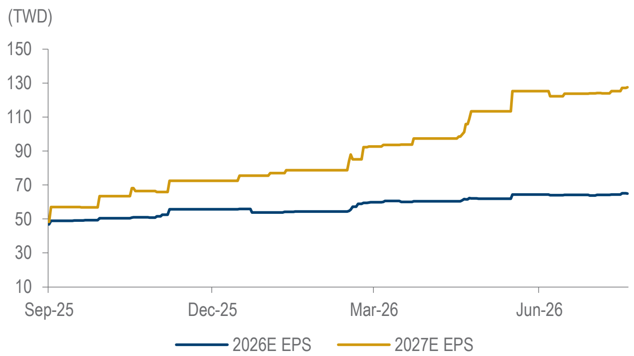


Source: Bloomberg

Earnings revisions

Bloomberg consensus 2026-27E EPS estimates have gradually trended higher over the past year, likely reflecting stronger earnings visibility from the accelerated expansion of VPC and MEMS capacity and improving order visibility for CPO testing equipment. MPI is currently covered by 14 brokers, indicating broadening investor interest and growing market recognition of its multi-year AI and CPO growth prospects.

MPI: Bloomberg-consensus earnings revisions



Source: Bloomberg

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Server CPU Shipment (m)	38	36	23	22	28	36	49	58
AI GPU/ASIC Shipment (m)	0	0	4	9	12	18	29	33
Smartphone Shipment (m)	1,655	1,437	1,381	1,439	1,429	1,249	1,235	1,303

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Probe Card	3,620	4,130	4,125	5,900	9,050	17,077	32,685	47,137
Equipment	1,196	2,096	2,586	2,746	2,550	3,117	5,314	10,501
Other Revenue	1,693	1,186	1,436	1,526	1,771	3,106	3,449	3,808
Total Revenue	**6,509**	**7,412**	**8,147**	**10,172**	**13,371**	**23,299**	**41,448**	**61,445**
Other income	0	0	0	0	0	0	0	0
COGS	(3,765)	(4,006)	(4,250)	(4,611)	(5,943)	(9,391)	(15,979)	(22,715)
SG&A	(1,192)	(1,407)	(1,591)	(1,973)	(2,384)	(3,745)	(5,812)	(7,468)
Other op.expenses	(745)	(748)	(830)	(1,089)	(1,276)	(1,535)	(2,383)	(2,912)
Operating profit	**808**	**1,250**	**1,471**	**2,483**	**3,775**	**8,583**	**17,274**	**28,350**
Net-interest inc./(exp.)	(7)	(14)	(26)	(31)	(72)	(126)	(156)	(170)
Assoc/forex/extraord./others	28	209	137	343	142	556	448	451
Pre-tax profit	**829**	**1,446**	**1,582**	**2,795**	**3,844**	**9,013**	**17,566**	**28,631**
Tax	(133)	(229)	(264)	(490)	(666)	(1,791)	(3,513)	(5,726)
Min. int./pref. div./others	(2)	(4)	(7)	(3)	(2)	(5)	0	0
Net profit (reported)	**694**	**1,214**	**1,312**	**2,301**	**3,177**	**7,217**	**14,053**	**22,905**
Net profit (adjusted)	**694**	**1,214**	**1,312**	**2,301**	**3,177**	**7,217**	**14,053**	**22,905**
EPS (reported)(TWD)	**7.438**	**12.892**	**13.922**	**24.423**	**33.492**	**73.642**	**143.403**	**233.734**
EPS (adjusted)(TWD)	**7.438**	**12.892**	**13.922**	**24.423**	**33.492**	**73.642**	**143.403**	**233.734**
EPS (adjusted fully-diluted)(TWD)	**7.438**	**12.892**	**13.922**	**24.423**	**33.492**	**73.642**	**143.403**	**233.734**
DPS (TWD)	**4.000**	**7.000**	**7.500**	**16.014**	**22.000**	**48.606**	**96.080**	**158.939**
EBIT	**808**	**1,250**	**1,471**	**2,483**	**3,775**	**8,583**	**17,274**	**28,350**
EBITDA	**1,304**	**1,776**	**2,008**	**3,039**	**4,566**	**9,613**	**18,407**	**29,597**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	829	1,446	1,582	2,795	3,844	9,013	17,566	28,631
Depreciation and amortisation	497	525	537	556	792	1,030	1,133	1,247
Tax paid	(133)	(229)	(264)	(490)	(666)	(1,791)	(3,513)	(5,726)
Change in working capital	(274)	51	(213)	(1,249)	(1,258)	(2,410)	(1,150)	(1,853)
Other operational CF items	(277)	(77)	(596)	485	(674)	809	0	0
Cash flow from operations	**641**	**1,717**	**1,046**	**2,097**	**2,038**	**6,651**	**14,036**	**22,298**
Capex	(762)	(291)	(312)	(218)	(3,881)	(6,822)	(4,776)	(3,343)
Net (acquisitions)/disposals	0	0	0	0	0	0	0	0
Other investing CF items	(390)	(177)	(957)	(1,125)	(194)	(871)	296	252
Cash flow from investing	**(1,152)**	**(469)**	**(1,269)**	**(1,343)**	**(4,075)**	**(7,693)**	**(4,480)**	**(3,091)**
Change in debt	(32)	(98)	(455)	482	4,051	5,383	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(416)	(376)	(660)	(707)	(1,508)	(2,156)	(4,763)	(9,415)
Other financing CF items	837	291	1,549	583	1,217	398	0	0
Cash flow from financing	**389**	**(182)**	**434**	**357**	**3,761**	**3,626**	**(4,763)**	**(9,415)**
Forex effect/others	0	(8)	(9)	14	12	21	31	24
Change in cash	**(121)**	**1,058**	**202**	**1,125**	**1,735**	**2,605**	**4,824**	**9,816**
Free cash flow	(121)	1,426	734	1,879	(1,843)	(171)	9,260	18,955

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	1,324	2,382	2,579	3,695	5,437	8,050	12,874	22,689
Inventory	2,575	2,747	2,752	3,477	5,011	9,111	12,723	17,752
Accounts receivable	1,384	1,123	1,338	2,050	2,411	4,440	6,361	9,288
Other current assets	147	155	235	283	458	669	669	669
Total current assets	**5,430**	**6,408**	**6,904**	**9,505**	**13,318**	**22,270**	**32,626**	**50,398**
Fixed assets	4,261	4,300	5,263	6,655	9,983	17,951	21,594	23,690
Goodwill & intangibles	0	0	0	0	0	0	0	0
Other non-current assets	166	195	273	318	702	914	617	365
Total assets	**9,857**	**10,903**	**12,440**	**16,479**	**24,003**	**41,135**	**54,838**	**74,453**
Short-term debt	120	111	170	858	1,366	1,410	1,410	1,410
Accounts payable	1,520	1,684	1,878	3,108	4,040	11,056	15,439	21,541
Other current liabilities	898	1,000	1,057	1,707	2,163	3,161	3,161	3,161
Total current liabilities	**2,538**	**2,794**	**3,105**	**5,673**	**7,569**	**15,628**	**20,010**	**26,112**
Long-term debt	1,135	1,039	1,511	1,305	1,337	6,721	6,721	6,721
Other non-current liabilities	137	176	203	193	518	559	559	559
Total liabilities	**3,810**	**4,009**	**4,819**	**7,172**	**9,424**	**22,908**	**27,290**	**33,392**
Share capital	941	942	942	942	980	980	980	980
Reserves/R.E./others	5,107	5,952	6,678	8,365	13,599	17,248	26,568	40,081
Shareholders' equity	**6,048**	**6,894**	**7,620**	**9,307**	**14,579**	**18,227**	**27,547**	**41,061**
Minority interests	0	0	0	0	0	0	0	0
Total equity & liabilities	**9,857**	**10,903**	**12,440**	**16,479**	**24,003**	**41,135**	**54,838**	**74,453**
EV	553,602	552,439	552,774	552,139	550,938	553,753	548,930	539,114
Net debt/(cash)	**(69)**	**(1,233)**	**(898)**	**(1,532)**	**(2,734)**	**82**	**(4,742)**	**(14,558)**
BVPS (TWD)	**64.187**	**73.070**	**80.807**	**98.723**	**148.790**	**186.029**	**281.150**	**419.070**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	9.8	13.9	9.9	24.9	31.5	74.2	77.9	48.2
EBITDA (YoY)	(7.4)	36.1	13.1	51.4	50.3	110.5	91.5	60.8
Operating profit (YoY)	(6.1)	54.8	17.7	68.7	52.0	127.4	101.2	64.1
Net profit (YoY)	(2.9)	74.9	8.1	75.4	38.0	127.2	94.7	63.0
Core EPS (fully-diluted) (YoY)	(11.5)	73.3	8.0	75.4	37.1	119.9	94.7	63.0
Gross-profit margin	42.1	46.0	47.8	54.7	55.6	59.7	61.4	63.0
EBITDA margin	20.0	24.0	24.6	29.9	34.1	41.3	44.4	48.2
Operating-profit margin	12.4	16.9	18.1	24.4	28.2	36.8	41.7	46.1
Net profit margin	10.7	16.4	16.1	22.6	23.8	31.0	33.9	37.3
ROAE	11.9	18.8	18.1	27.2	26.6	44.0	61.4	66.8
ROAA	7.4	11.7	11.2	15.9	15.7	22.2	29.3	35.4
ROCE	11.7	16.3	17.0	23.9	26.3	39.3	55.7	66.8
ROIC	12.2	18.1	19.8	28.2	31.8	45.6	67.2	92.0
Net debt to equity	net cash	net cash	net cash	net cash	net cash	0.4	net cash	net cash
Effective tax rate	16.1	15.8	16.7	17.5	17.3	19.9	20.0	20.0
Accounts receivable (days)	71.2	61.7	55.1	60.8	60.9	53.7	47.6	46.5
Current ratio (x)	2.1	2.3	2.2	1.7	1.8	1.4	1.6	1.9
Net interest cover (x)	122.9	106.4	61.7	92.3	54.5	72.4	113.6	169.4
Net dividend payout	53.8	54.3	53.9	65.6	65.7	66.0	67.0	68.0
Free cash flow yield	n.a.	0.3	0.1	0.3	n.a.	n.a.	1.7	3.4

Source: FactSet, Daiwa forecasts

Company profile

Founded in Hsinchu in 1995, MPI is a leading global probe card supplier offering CPC, VPC and MEMS solutions, alongside photonics, semiconductor and thermal testing equipment. Growth is driven by expanding AI/HPC demand, rising MEMS adoption, capacity expansion, deeper vertical integration and emerging opportunities in CPO testing.

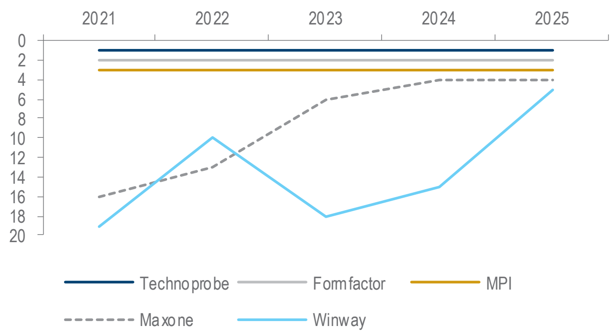
Scaling new heights in the AI ASIC & CPO era

Dominance in AI accelerators

Well positioned to capture growing AI ASIC probe card demand, benefiting from high switching costs and expanding production ramp ups

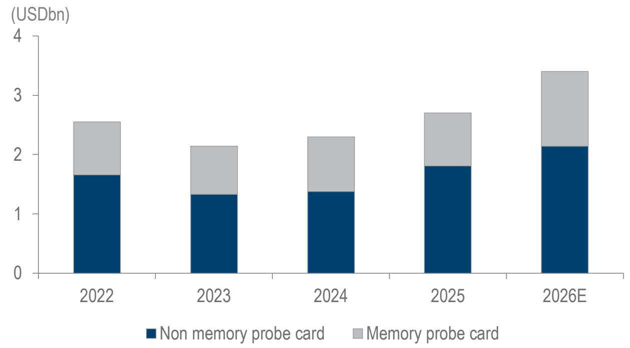
Founded in 1995, MPI Corporation is a global leader in semiconductor testing interfaces and automated test equipment (ATE). Starting with cantilever probe cards (CPCs), MPI has now transitioned into advanced wafer-level testing. Per management, the probe cards business accounted for 68% of its total revenue in 2025. In addition, MPI is currently the world's No.1 vertical probe card (VPC) supplier, with a 31% global market share in terms of revenue according to Yole Intelligence and maintains near-exclusive supply relations with major US networking clients, per management. We believe this entrenched position directly links MPI to core custom AI ASIC projects across top-tier CSPs.

Global: non-memory probe card supplier ranking



Source: Techinsights

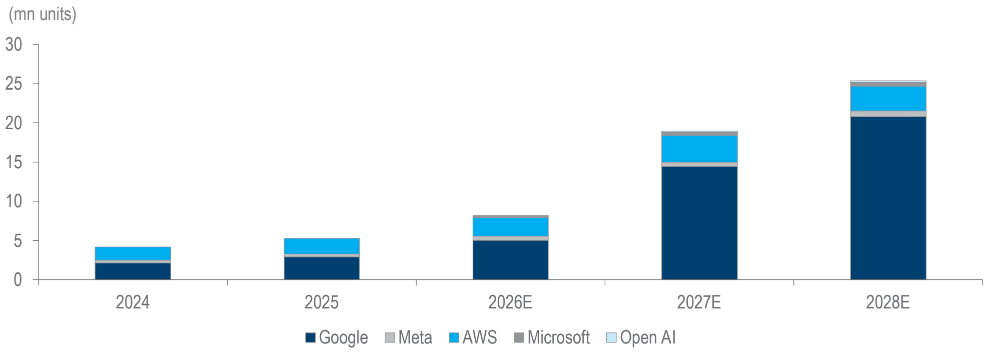
Global: non-memory probe card TAM



Source: Company, Daiwa forecasts

Benefiting from Taiwan's semiconductor manufacturing cluster, we believe MPI has maintained a high market share across these ASIC projects and is progressively becoming the exclusive supplier. As highlighted in our *Initiation: paradigm shift accelerated by AI* report, the test interface represents a minute fraction – typically less than 1-2% – of total COGS. Even with structural growth driven by ASP expansion, we believe the cost-to-value ratio remains relatively small. This is reinforced by high switching costs, as clients are highly price inelastic when yield insurance is at stake. Therefore, with more ASIC projects being developed and moving into mass production, we expect demand for probe cards is bound to grow and MPI has positioned itself at the centre of the AI megatrend.

Global: ASIC shipments



Source: Daiwa forecasts

In addition to its market-leading position in AI ASICs, we note that agentic AI is also driving a massive surge in compute requirements for server CPUs – such as NVIDIA Vera CPU and AMD EPYC – as well as high-performance graphics processors. Given the capacity bottlenecks faced by overseas probe card competitors such as FormFactor and Technoprobe, we believe MPI's local engineering support, rapid turn-around-time (TAT), and significant manufacturing scale have enabled it to capture substantial spillover orders across major global chipmakers and transfer to long-term business.

MEMS upgrade and content expansion

The migration towards advanced process nodes and larger AI packages is accelerating MEMS probe card adoption, driving both pin-content and ASP expansion

Echoing our *Initiation: paradigm shift accelerated by AI*, as custom AI accelerator architectures migrate towards 3nm and 2nm leading-edge semiconductor nodes accompanied by significantly larger package dimensions, pin counts are surging from several thousands to over 40k pins per probe card assembly, based on our channel checks. This structural rise in pin density and signal integrity requirements is rapidly driving a transition from traditional cobra needle architectures to ultra-fine-pitch MEMS probe cards. We expect MEMS probe cards to be adopted across nearly all AI GPU and ASIC platforms from 2026.

In addition, MEMS probes command a superior ASP of c.USD13-15 per pin, representing a 20-30% premium vs. conventional VPC needles (USD10-13 per pin), which substantially expands the total dollar content per silicon wafer test, per our channel checks. As testing interface expenditure represents less than 1% of total chip manufacturing costs, we believe hyper-scaler customers prioritise test reliability over price and demonstrate extremely high vendor stickiness once a supplier is qualified.

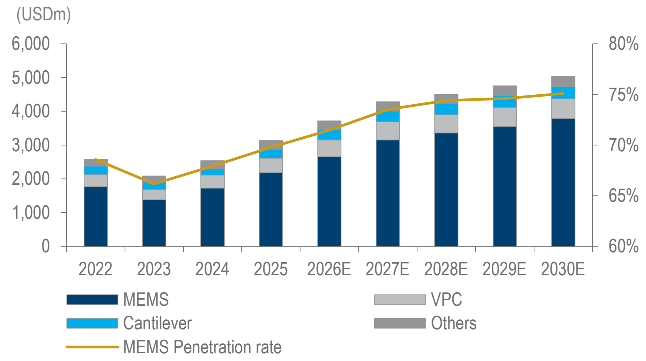
Leveraging its vertical integration model encompassing probe design, ceramic substrate fabrication and automated assembly, MPI delivers uncompromised contact stability and yield preservation. We believe MPI's technical moat will fuel revenue growth in MEMS and VPC probe cards over our forecast horizon.

Comparison between MEMS and traditional VPC

	MEMS probe card	Traditional VPC
Manufacturing	Lithography and microfabrication	Precision machining and mechanical assembly
Minimum pitch	35–45µm	80-150µm
Pin-count scalability	High; >20k probes	Lower scalability at extreme densities
Repairability	Specialised; design-dependent	Easier individual-probe replacement
Relative cost	Higher	Lower
Key applications	AI/HPC, HBM, advanced packaging	PMIC, automotive, MCU, flip-chip

Source: Formfactor, Daiwa

Global: MEMS probe card adoption



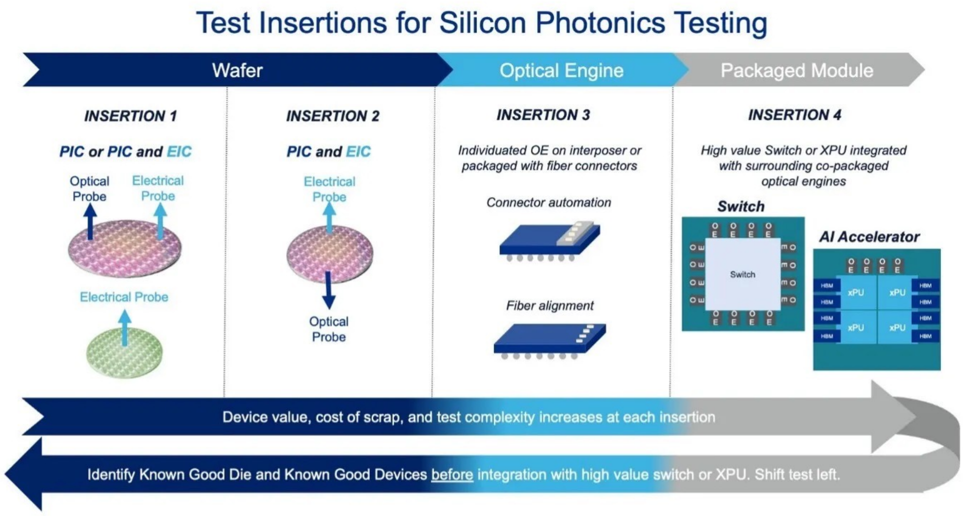
Source: Daiwa forecasts

Early mover advantage in CPO

MPI's photonics testing expertise & automation capabilities positions it as a key beneficiary of the emerging CPO testing ecosystem

As traditional copper interconnects reach their physical limits in bandwidth, latency and thermal dissipation, silicon photonics (SiPh), and co-packaged optics (CPO) have emerged as essential paradigm shifts for next-generation AI data centre networks. However, the commercial deployment of CPO architectures faces severe manufacturing bottlenecks, particularly in optical-electrical alignment precision and highly complex multi-stage testing protocols.

CPO testing flow



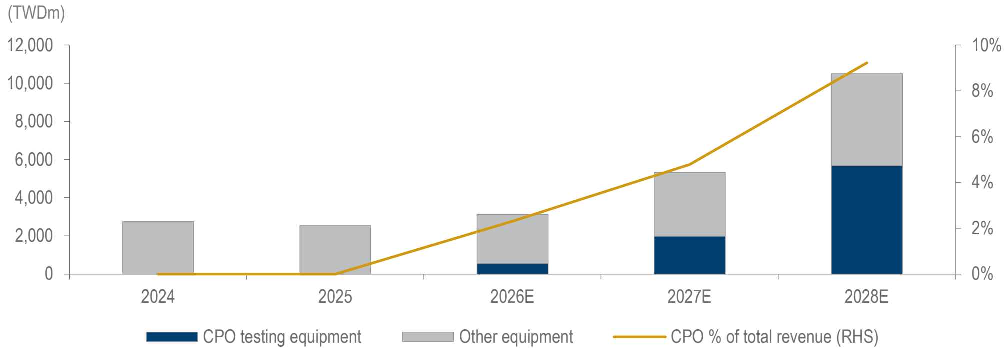
Source: Teradyne

Combining decades of technical expertise across its Photonics Automation (PA) and Advanced Semiconductor Test (AST) divisions, MPI stands as one of the few global vendors capable of delivering fully integrated wafer-level electro-optical testing interfaces and automated test systems. MPI is strategically positioned across crucial CPO testing nodes, most notably Insertion 2 – performing double-sided electro-optical wafer-level testing on electro-photonic integrated circuits (EPIC) after hybrid bonding – and Insertion 3, which executes optical engine (OE)-level singulated die and module testing.

As foundry leaders such as TSMC ramp their Compact Universal Photonic Engine (COUPE) architecture and primary CSP CPO projects into qualification and volume production through 2026 and 2027, MPI is uniquely positioned to capture dual revenue streams. We believe testing equipment for Insertion 3 will start ramping up and contributing to revenue from 4Q26. In addition, while testing equipment for Insertion 2 is currently undergoing customer qualification, we expect its commercial adoption to pick up momentum as wafer-level optical integration scales in 2Q27.

Backed by strong ecosystem partnerships with ATE leader Advantest and metrology powerhouse Keysight, we believe MPI is uniquely positioned to capture strong tailwinds. Furthermore, we highlight that MPI's ability to bundle automated optical testing equipment with CPO-dedicated probe cards as a turnkey solution creates a compelling value proposition. We believe this integrated offering establishes a powerful second growth pillar for the company, providing multi-year earnings visibility and supporting a long-term valuation premium. We expect CPO testing equipment to account 4.8% of MPI's total revenue in 2027E and 9.2% in 2028E.

MPI: CPO testing equipment revenue growth



Source: Company, Daiwa forecasts

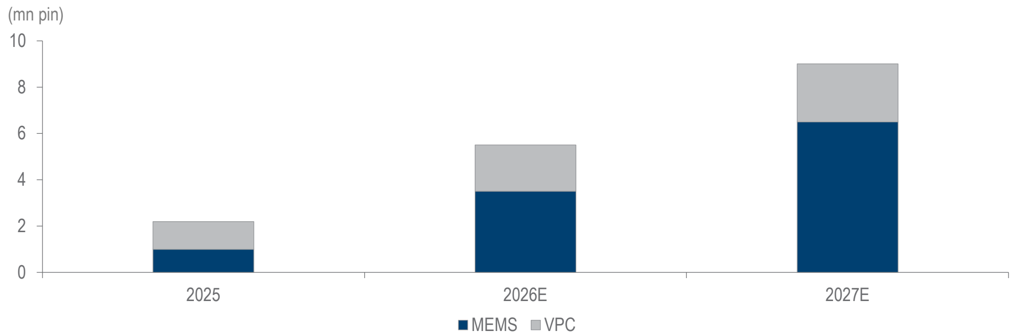
Capacity expansion to capture the AI megatrend

MPI's aggressive capacity expansion and PCB vertical integration support long-term AI ASIC and CPO growth

To satisfy booming global demand for AI chip testing, MPI is deploying the largest capex and capacity expansion strategy in its corporate history. Management projects the company's monthly production capacity for VPC and MEMS probe pins to double from 5.5m pins by end-2026 to 9.0m pins by end-2027, underscoring exceptional long-term order visibility and customer commitments. While its headline monthly revenue has yet to return to prior peaks – partly due to revenue-recognition timing lags that keep management's tone conservative – we expect capacity additions to track ahead of official guidance over our forecast horizon, paving the way for the upcoming ASIC ramp cycle. Furthermore, we expect 2028 capacity to outpace 2027 levels, driven by robust demand from AI ASICs and the commercial mass production of CPO.

Furthermore, MPI's newly commissioned, dedicated probe-card PCB facility in Hsinchu targets an internal PCB self-sufficiency rate of over 50%. This vertical integration breakthrough successfully resolves the industry-wide bottleneck in external substrate procurement. By controlling substrate production in-house, MPI can not only dramatically compresses New Product Introduction (NPI) lead times for tier-one clients but also eliminate third-party component margin markups. Consequently, this strategic buildout acts as a primary catalyst insulating operating leverage and driving corporate gross margins towards the landmark 60%+ threshold.

MPI: capacity expansion plan



Source: Company, Daiwa forecasts

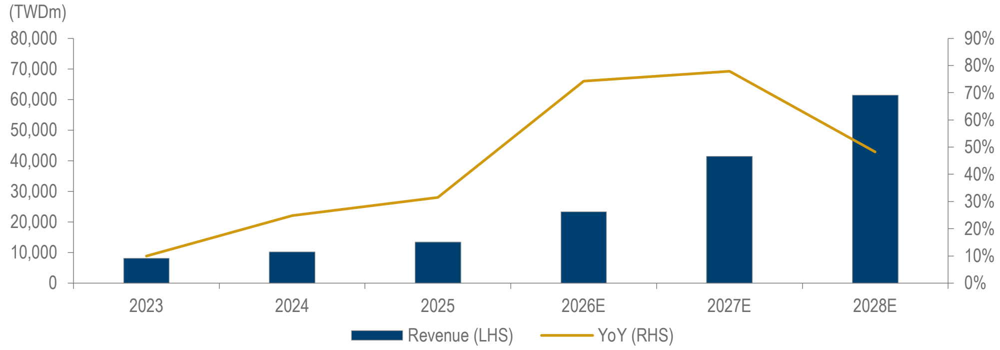
Financial analysis

Revenue growth over 2026-28E

We expect AI ASIC ramp ups and the commercialisation of CPO testing equipment to drive MPI's next multi-year growth cycle

Driven by soaring hyperscaler demand for custom AI ASICs and equipment demand for CPO testing, we believe MPI is embarking on a multi-year revenue growth trajectory. We forecast CPC/VPC probe card revenue to increase from TWD9.1bn in 2025 to TWD47.1bn in 2028E. With improved execution on capacity expansion, we believe the original capacity expansion plan could be completed ahead of schedule, potentially before the targeted end-2027 completion date. On the other hand, we believe CPO testing equipment will start shipping to clients, recognising revenue in 4Q26 (some may defer to 1Q27). Therefore, we forecast total revenue to increase from TWD13.4bn in 2025 to TWD61.5bn in 2028E, representing 2026-28E top-line CAGR of 62%.

MPI: total revenue trend and forecasts



Source: Company, Daiwa forecasts

MPI: quarterly and annual P&L statements

	2026E				2027E							
(TWD m)	1Q	2Q	3QE	4QE	1QE	2QE	3QE	4QE	2025	2026E	2027E	2028E
Net sales	**3,933**	**5,233**	**6,100**	**8,033**	**8,961**	**10,008**	**10,971**	**11,508**	**13,371**	**23,299**	**41,448**	**61,445**
Gross profit	**2,338**	**3,055**	**3,627**	**4,888**	**5,492**	**6,124**	**6,735**	**7,117**	**7,428**	**13,908**	**25,469**	**38,730**
Operating costs	1,065	1,253	1,360	1,647	1,846	2,022	2,106	2,221	3,653	5,325	8,195	10,380
Operating profit	**1,273**	**1,802**	**2,267**	**3,241**	**3,646**	**4,103**	**4,629**	**4,896**	**3,775**	**8,583**	**17,274**	**28,350**
Pretax profit	1,525	1,906	2,306	3,276	3,698	4,154	4,728	4,986	3,844	9,013	17,566	28,631
Net profit	**1,227**	**1,524**	**1,845**	**2,621**	**2,959**	**3,323**	**3,782**	**3,989**	**3,177**	**7,217**	**14,053**	**22,905**
EPS (TWD)	**12.53**	**15.55**	**18.82**	**26.74**	**30.19**	**33.91**	**38.60**	**40.71**	**33.49**	**73.65**	**143.40**	**233.73**
Operating ratios												
Gross margin	59.4%	58.4%	59.5%	60.9%	61.3%	61.2%	61.4%	61.8%	55.6%	59.7%	61.4%	63.0%
Operating margin	32.4%	34.4%	37.2%	40.4%	40.7%	41.0%	42.2%	42.5%	28.2%	36.8%	41.7%	46.1%
Pre-tax margin	38.8%	36.4%	37.8%	40.8%	41.3%	41.5%	43.1%	43.3%	28.8%	38.7%	42.4%	46.6%
Net margin	31.2%	29.1%	30.2%	32.6%	33.0%	33.2%	34.5%	34.7%	23.8%	31.0%	33.9%	37.3%
YoY growth												
Net revenue	39%	59%	79%	109%	128%	91%	80%	43%	31%	74%	78%	48%
Gross profit	44%	59%	99%	137%	135%	100%	86%	46%	34%	87%	83%	52%
Operating income	51%	67%	153%	238%	186%	128%	104%	51%	52%	127%	101%	64%
Net income	70%	142%	110%	177%	141%	118%	105%	52%	38%	127%	95%	63%
QoQ growth												
Net revenue	3%	33%	17%	32%	12%	12%	10%	5%				
Gross profit	13%	31%	19%	35%	12%	12%	10%	6%				
Operating income	33%	42%	26%	43%	12%	13%	13%	6%				
Net income	30%	24%	21%	42%	13%	12%	14%	5%				

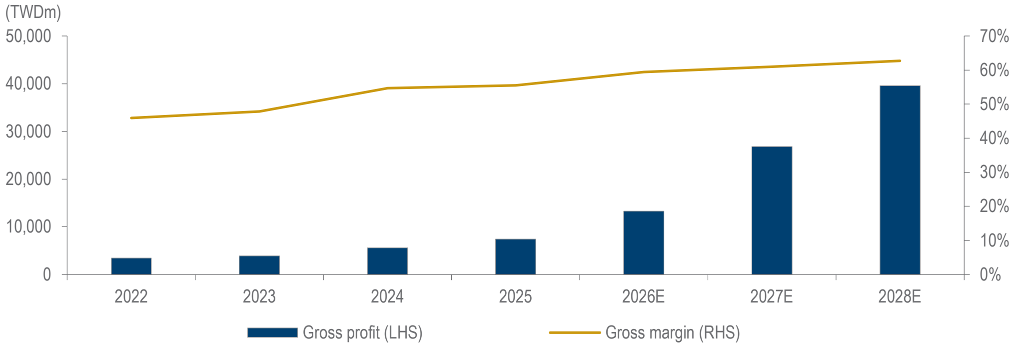
Source: Company, Daiwa forecasts

Gross margin growth over 2026-28E

Structural AI ASIC demand, CPO testing adoption, and greater vertical integration are expected to support further margin expansion

MPI's gross margin significantly improved from 47.8% in 2024 to all-time high of 59.5% in 1Q26, driven by structural demand from AI ASICs. Although gross margin slightly fell to 58.4% in 2Q26, management expects it to recover to 59.5% in 3Q26, with better product mix and price hikes. We forecast MPI's gross margin to expand steadily from 59.7% in 2026E to 63% in 2028E, underpinned by structural product-mix upgrades and enhanced vertical integration. In our view, primary tailwinds include rising penetration of high-ASP MEMS probe cards, the commercial ramp-up in shipments of automated CPO test systems, and 2027 commissioning of MPI's dedicated Hsinchu PCB facility, which targets an internal self-sufficiency rate above 50% to eliminate third-party substrate mark-ups.

MPI: gross margin

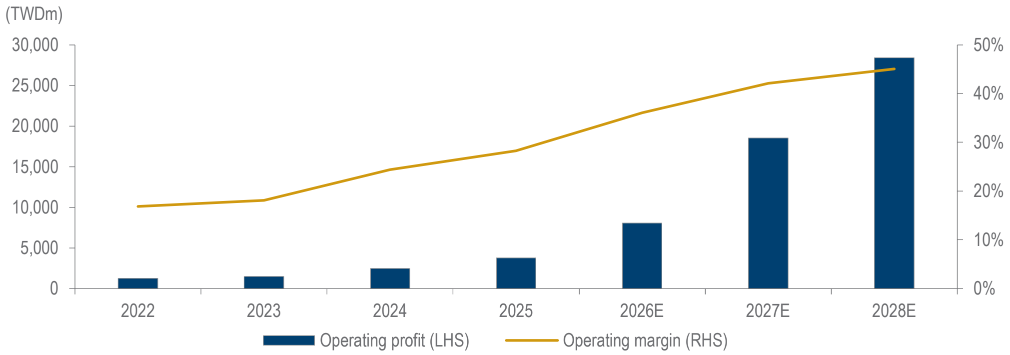


Source: Company, Daiwa forecasts

Operating leverage profile

We forecast top-line revenue to expand several-fold over 2026-28E, but operating expense ratios (SG&A ratio: 59%/44% in 2025/2028E; R&D ratio: 26%/31% in 2025/2028E) to decline sharply, triggering a steep expansion in operating margin from 36.8% in 2026E to 46.1% by 2028E. In addition, as the internal self-sufficiency rate improves, we believe this operating leverage will allow operating profit growth (82% CAGR in 2026-28E) to significantly outpace top-line revenue growth over our forecast period.

MPI: operating margin trend and forecasts

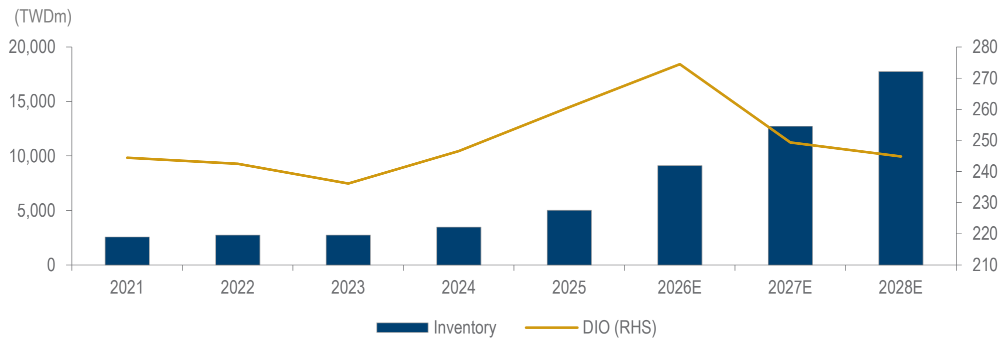


Source: Company, Daiwa forecasts

Balance sheet and cash flow

As top-tier CSPs accelerate AI ASIC deployments, we expect MPI's operating cash inflows to expand multi-fold, providing substantial financial flexibility to fund aggressive expansion without straining liquidity. We note that working capital cycles remained healthy; despite revenue scaling rapidly over the past few years, inventory turnover days are well managed due to MPI's high vertical integration and precise supply-chain control over core probe card raw materials and substrates.

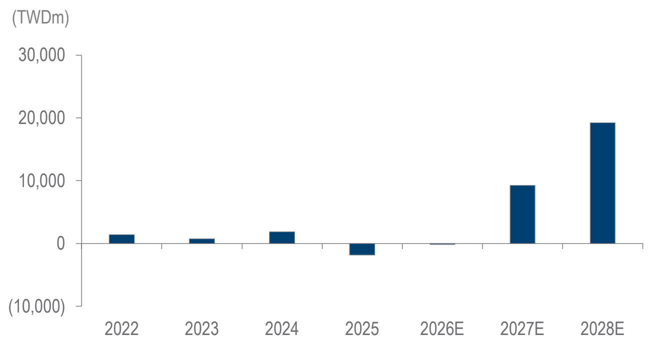
MPI: inventory and days of inventory trend and forecasts



Source: Company, Daiwa forecasts

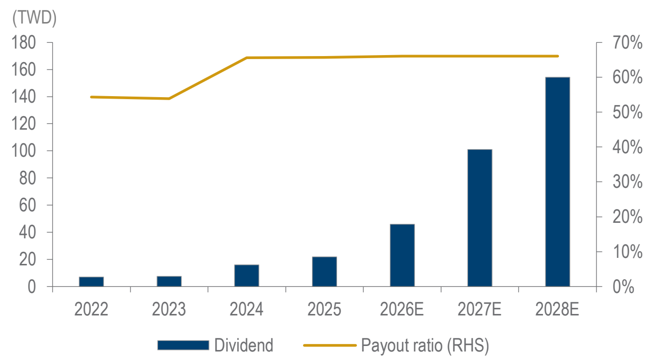
To support unprecedented order visibility, MPI is executing the largest capital expenditure plan in its history. Despite elevated capital outlays during the company's proposed 2026-27 capex peak, we believe net profit growth (with a 2026-28E EPS CAGR of 78%) will generate powerful operating cash flows. This would lead to free cash flow rapidly expanding, covering capex requirements while maintaining a sustainable dividend payout ratio of c.66% and an attractive ROE of 60%+ over 2027-2028E.

MPI: free cash flow



Source: Company, Daiwa forecasts

MPI: dividend & payout ratio



Source: Company, Daiwa forecasts

Valuation and recommendation

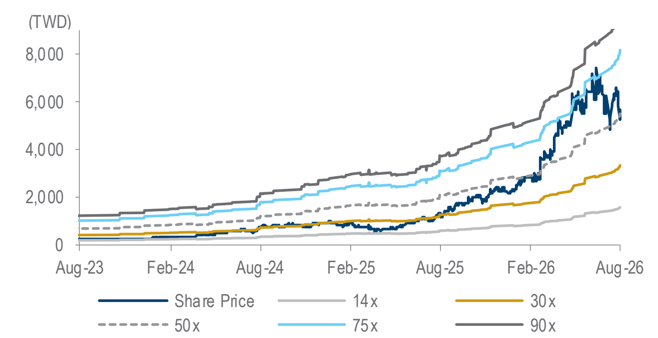
Initiating coverage with a Buy (1) rating

We initiate coverage of MPI with a Buy (1) rating on AI ASIC projects ramp-up

Given the structural shift in MEMS probe card and the potential of CPO testing equipment, we initiate coverage of MPI with a Buy (1) rating and 12-month TP of TWD8,415. Our TP is based on a target PER of 65x applied to our 4-quarter-forward EPS. Our valuation is supported by our 2026-28E EPS CAGR of 78%.

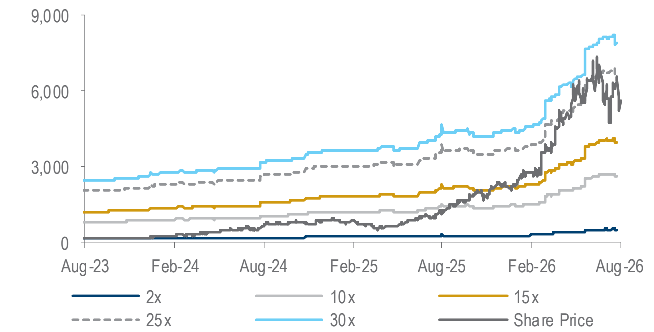
Following the company's 2Q26 earnings call, the market experienced a short-term pullback primarily triggered by management's relatively conservative 2H26 guidance. However, we view this as an attractive entry window for long-term investors. In our view, the muted outlook reflects management's customary prudence and capacity lead-time constraints rather than softening end-demand. With more AI/HPC probe card pull-ins and capacity coming online, we see clear upside potential to beat management guidance by year-end. We believe MPI's structural story remains intact.

MPI: blended 12-month PER bands (past 3 years)



Source: Bloomberg

MPI: blended 12-month PBR bands (past 3 years)



Source: Bloomberg

Peers valuation

			Share price	Mkt cap	Daily turnover	EPS CAGR	PER (x)			PBR (x)			ROE (%)		
Companies	Ticker	Rating	(LC)	(USDm)	(USDm)	2026-28E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
MPI*	**6223 TT**	**Buy**	**5,650.0**	**17,331**	**201.7**	**78%**	**76.7**	**39.4**	**24.2**	**30.4**	**20.1**	**13.5**	**44.0**	**61.4**	**66.8**
Winway*	6515 TT	Buy	6,380.0	7,198	105.4	101%	66.5	31.1	16.4	30.8	18.7	11.1	49.9	75.0	84.9
CHPT*	6510 TT	Buy	2,760.0	2,833	58.8	57%	44.6	22.8	18.2	8.4	6.6	5.4	20.8	32.3	32.7
Formfactor	FORM US	Not Rated	115.7	9,039	0.1	20%	37.7	29.7	26.4	n.a.	n.a.	n.a.	18.1	21.3	n.a.
Technoprobe	TPRO IM	Not Rated	27.7	21,144	4.7	36%	52.2	35.7	28.4	11.3	8.7	6.7	23.6	25.9	25.9
MJC	6871 JP	Not Rated	13,310.0	3,348	628.4	99%	54.7	17.7	13.8	8.9	4.9	3.8	31.0	34.0	34.1
Leeno*	058470	Buy	66,300.0	3,646	4,231.8	16%	26.3	22.7	19.4	6.3	5.3	4.5	25.1	25.5	25.2
Average							**51.2**	**28.4**	**21.0**	**16.0**	**10.7**	**7.5**	**30.3**	**39.4**	**44.9**

*Source: Bloomberg, *Daiwa forecasts*
Note: Share prices as of 20 Aug 2026

Risks to our call

1. **Competitive and pricing pressure – primary risk:** Continued investment by global and regional probe card suppliers could intensify competition for key design wins, constrain MPI's market-share expansion and place pressure on pricing and margins in high-end applications.
2. **AI/HPC demand concentration – secondary risk:** MPI's growth remains highly exposed to hyperscaler capex and AI chip roadmaps. Any moderation in infrastructure spending or platform delays could slow project ramp-ups, defer revenue recognition and reduce earnings visibility.
3. **CPO commercialisation risk – secondary risk:** CPO testing remains at an early stage, with significant technical, qualification and ecosystem coordination requirements. Slower-than-expected industry adoption could delay MPI's anticipated revenue contribution and weaken its medium-term growth outlook.

Appendix

Company introduction

MPI is a leading global probe card supplier with a vertically integrated model and broad exposure to AI, HPC and emerging CPO testing applications

Founded in Hsinchu in 1995, MPI initially focused on cantilever probe cards before broadening its portfolio through organic development and acquisitions. It became Taiwan's first publicly listed probe card company in 2003 and has since established itself as one of the world's leading probe card suppliers.

MPI offers a full spectrum of CPC, VPC and MEMS probe cards. Its equipment businesses also provide photonics automation, advanced semiconductor testing and extreme-temperature thermal solutions. The company serves a diversified customer base spanning leading IC design vendors, as well as major foundries and OSATs.

MPI's key competitive advantage lies in its vertically integrated manufacturing model, with probes and substrates produced in-house and high-layer PCB capacity currently being expanded. This structure enhances design flexibility, strengthens supply-chain control and shortens delivery lead. Combined with its proximity to Taiwan's semiconductor ecosystem and early customer engagement, these capabilities position MPI to capture rising demand for AI/HPC probe cards and emerging CPO testing solutions.

Shareholder structure

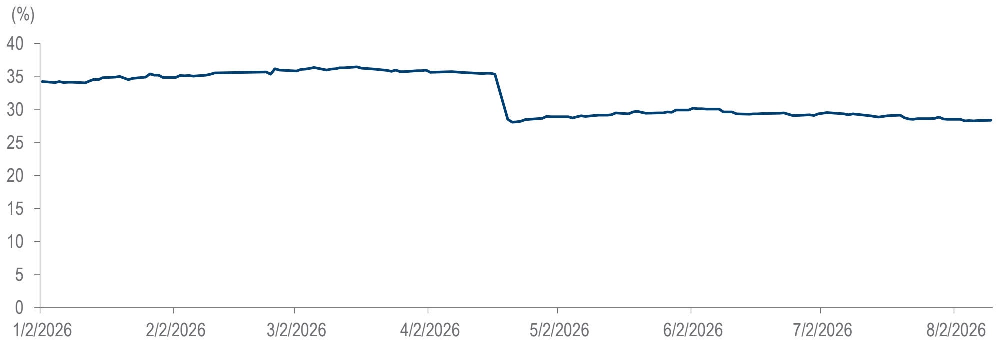
MPI's shareholder base is relatively diversified, with no single shareholder holding a controlling stake. The largest shareholder, Wang Hsi Investment Co., Ltd., owns c.8.5%, while other major holders include domestic pension funds and global institutional investors such as Vanguard, BlackRock, JPMorgan and Dresdner Bank. Notably, MPI has a high free float of c.73.6%, supporting strong trading liquidity and broad institutional participation.

MPI: shareholder structure (as of 20 August 2026)

Holder	Share (%)
WANG HSI INVESTMENT CO LTD	8.51
NEW LABOR PENSION FUND	8.49
Uni-President Asset Management Corp/Taiwan	5.99
Dresdner Bank AG	5.75
Vanguard Group Inc/The	4.84
Blackrock Inc	3.22
JPMorgan Chase & Co	2.81
OLD LABOR RETIREMENT FUND	2.57
Fuh Hwa Investment Trust Co Ltd	2.05
CIVIL SERVANTS PENSION FUND	1.98

Source: Bloomberg, Company

MPI: foreign institutional ownership trend



Source: Company, Daiwa forecasts

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	2	MPI maintains a robust governance framework with an independent board, specialized committees, and regular ESG oversight to strengthen transparency, accountability, and long-term sustainability.
	Capital management	2	The company follows a prudent financial strategy, balancing growth investments, R&D spending, and cash flow management to enhance long-term shareholder value.
	Related party & transaction	2	MPI enforces strict conflict-of-interest and related-party transaction controls through board oversight, audit committee review, disclosure requirements, and recusal mechanisms to ensure transparency, fairness, and the protection of shareholder interests.
S	Supply chain management	1	MPI promotes responsible supply chain management through supplier assessments, ESG integration, sustainability audits, and ongoing engagement to enhance supply chain resilience.
E	Water & wastewater management	2	MPI implements water conservation and wastewater control measures, focusing on efficient resource utilization, pollution prevention, and sustainable water management practices.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 21 Aug 2026

Source: Daiwa, Company

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